

ECONOMICS PAPER 1

(Mock Test 35)

Time allowed: 40 minutes

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the ‘Time is up’ announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words ‘**END OF PAPER**’ after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong answers can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the end of the examination session

There are 30 questions in this paper. Choose the **BEST** answer for each question.

1. Anson is a candidate for the Hong Kong Diploma of Secondary Education Examination (HKDSE) this year. He is considering whether to become a firefighter or to study economics abroad.

Which of the following would be the **LEAST** important factor for Anson in choosing between becoming a firefighter and studying abroad?

- A. The expense of studying abroad is higher than expected.
 - B. The government raises the starting salary for new firefighters.
 - C. Anson has already spent three years studying economics.
 - D. More employers prefer to hire people who have studied abroad.
2. Mr. Chan lives in a residential unit that he owns. He is considering whether to sell the residential unit or renovate it before continuing to live in it. He will need to rent a residential unit to live in during the renovation period. In which of the following situations will his cost of continuing to live in his residential unit increase?
- A. The market price of Mr. Chan's residential unit decreases.
 - B. The renovation work is delayed.
 - C. The market rent of other residential units decreases.
 - D. The quality of the renovation work turns out to be better than expected.
3. If a good is scarce,
- A. there is a shortage of the good.
 - B. the good must have a market price.
 - C. the quantity of the good is not sufficient to satisfy all people's wants.
 - D. the quantity of the good is fixed.
4. Which of the following statements about interest is **CORRECT**?
- A. Interest still exists when there is no scarcity.
 - B. Interest will not exist in a command economy.
 - C. Interest can be in the form of goods or money.
 - D. Scarcity does not exist because interest does not exist.
5. An online shopping platform provides free delivery services to customers who purchase goods above a specified amount. These delivery services are _____ because _____.
- A. producer goods ... they directly satisfy customers' wants
 - B. free goods ... they are provided free of charge to customers
 - C. public goods ... they are offered to all customers who meet the purchase requirement
 - D. economic goods ... they are produced from scarce resources
6. If a market economy turns into a command economy,
- A. people will become wealthier.
 - B. more resources will be owned by the government.
 - C. income distribution will become more uneven.
 - D. the quantity of public goods will increase.

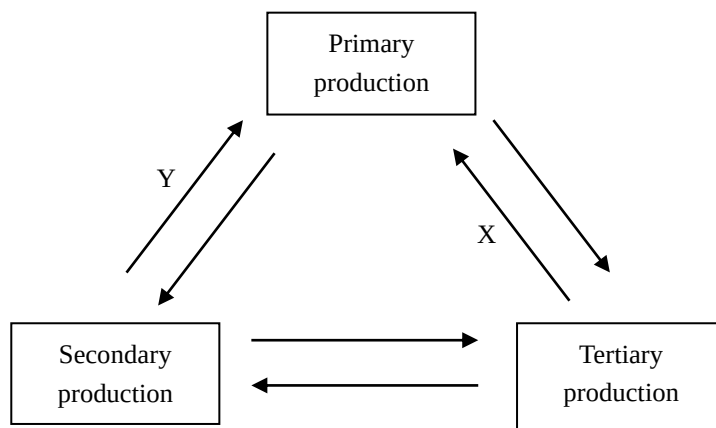
7. Refer to the following information about the 'One Tablet Per Student' e-learning scheme in a secondary school.

- All Form 1 students will be automatically included in the scheme.
- Teachers will regularly install designated learning software on the tablet computers for students to use.

The above information is related to the _____ question(s) in economics.

- (1) 'what to produce'
 - (2) 'how to produce'
 - (3) 'for whom to produce'
- A. (3) only
B. (1) and (2) only
C. (1) and (3) only
D. (2) and (3) only
8. Jonathan is a swimming coach. He is considering whether to set up his swimming centre in the form of a partnership or a private limited company. Which of the following are possible reasons for him to choose to form a private limited company?
- (1) A partnership is not a legal entity whereas a private limited company is a legal entity.
 - (2) Ownership of a private limited company can be freely transferred while that of a partnership cannot.
 - (3) Compared to a partnership, a private limited company has wider sources of capital.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)
9. Which of the following is a possible reason for a public limited company to choose to issue shares instead of bonds?
- A. The company can raise more capital.
B. The company has no obligation to redeem its shares.
C. Existing shareholders' control over the company will not be diluted.
D. Issuing shares will not increase the risk of the company being taken over by others.
10. Which of the following is the closest example of a public good?
- A. play equipment for children in a park
B. street lighting
C. free drinking water provided in a restaurant
D. music played at home

11. Refer to the following diagram.



X and Y represent _____ and _____ respectively.

- A. producer goods ... raw materials
- B. producer goods ... services
- C. services ... raw materials
- D. services ... producer goods

12. Which of the following items are capital of a supermarket?

- (1) food samples for tasting
 - (2) cash registers
 - (3) cashiers
 - (4) the shop premises
- A. (1) and (3) only
 - B. (2) and (4) only
 - C. (1), (2) and (4) only
 - D. All of the above.

13. The input-output relationship of two firms is as follows:

	Firm A	Firm B
Number of workers	40	50
Number of working hours per worker per day	10	7
Quantity of output (units)	4,000	4,200

Based on the above information, _____ has a larger labour supply and _____ has higher average labour productivity.

- A. firm A ... firm A
- B. firm A ... firm B
- C. firm B ... firm A
- D. firm B ... firm B

14. Firm A and firm B produce the same mobile phone accessories. Both firms employ the same number of workers, but the working hours for each worker at firm A are longer. It is found that the output of firm A is the same as that of firm B. Which of the following may be the reason for the difference in labour productivity between firm A and firm B?

- A. Firm A implements a higher degree of division of labour.
- B. Firm A adopts piece rate while firm B adopts time rate to pay their workers.
- C. The skill level of the workers at firm B is lower.
- D. More producer goods are used in firm B.

15. The occupational mobility of labour of Hong Kong will increase if

- A. more industries implement a licensing system.
- B. firms adopt a higher degree of division of labour.
- C. the monthly subsidy under the Public Transport Fare Subsidy Scheme is raised.
- D. the subsidy ceiling of the Continuing Education Fund is raised.

16. The following table shows the input-output relationship of a firm.

Machinery (units)	Labour (units)	Total product of labour (units)
10	1	5
10	2	12
10	3	24
10	4	32
10	5	35

Which of the following statements about the above firm are **CORRECT**?

- (1) The marginal product of labour will start to diminish when the fourth unit of labour is put to work.
 - (2) The above information shows a short run situation.
 - (3) The average product of labour keeps increasing.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

17. After a firm doubles the quantity of all inputs, its total output and total cost change as follows.

Total output (units)	Total cost (\$)
1,000	5,000
2,000	8,000

Which of the following statements are **CORRECT**?

- (1) The firm enjoys internal economies of scale.
 - (2) The above data illustrate the law of diminishing marginal returns.
 - (3) It may be a result of lower buying costs.
 - (4) The firm has a higher profit.
- A. (1) and (3) only
 - B. (2) and (4) only
 - C. (1), (3) and (4) only
 - D. (2), (3) and (4) only

18. Mr. Wong runs a taekwondo (跆拳道) school and teaches taekwondo courses. Which of the following will reduce its profit-maximising output?
- A. The monthly salary of taekwondo instructors decreases.
 - B. An increasing number of primary schools place more importance on students' extracurricular performance in sports in admission decisions.
 - C. There are more taekwondo schools in the market.
 - D. The rent for the premises of Mr. Wong's taekwondo school decreases.
19. Which of the following is an example of vertical backward integration?
- A. A food wholesale company acquires a supermarket.
 - B. A hotel acquires a travel agency.
 - C. A bakery acquires a computer software development company.
 - D. A manufacturer of dairy products acquires an overseas farm.
20. When the market demand curve of a good is derived, all of the following are assumed to be constant **EXCEPT**
- (1) the price of the good
 - (2) the income of consumers
 - (3) the quantity demanded of the good
 - (4) the price of the substitute of the good
- A. (1) and (3) only
 - B. (2) and (4) only
 - C. (1), (2) and (4) only
 - D. (2), (3) and (4) only
21. Many people queued up on an online platform to buy tour packages that were recently launched. Some people said that even though they waited for a long time and were willing to pay the price, they were unable to buy them because the packages had sold out. Which of the following statements about the above case are **CORRECT**?
- (1) The price of the tour packages was below the equilibrium level.
 - (2) There was a shortage of the tour packages.
 - (3) The opportunity cost of obtaining a tour package was higher than its price.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

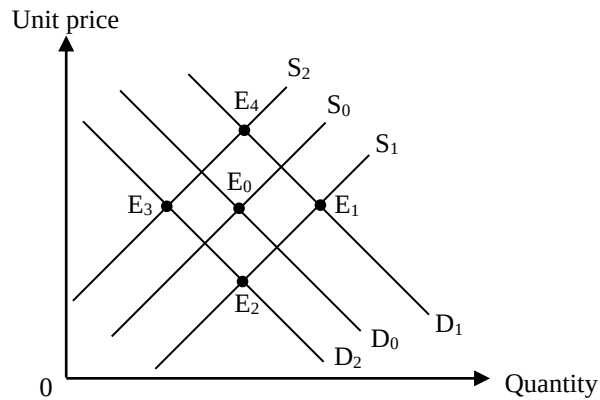
22. A furniture store raises the lump-sum delivery fee for all furniture to cope with increasing costs. The table below shows the quantities of high-quality furniture and average-quality furniture sold.

	High-quality furniture (units)	Average-quality furniture (units)
Before the delivery fee is raised	12,000	8,000
After the delivery fee is raised	Q_1	Q_2

Which of the following figures is/are inconsistent with the law of demand?

- (1) $Q_1 = 11,500$; $Q_2 = 7,500$
(2) $Q_1 = 10,000$; $Q_2 = 7,500$
(3) $Q_1 = 10,000$; $Q_2 = 7,000$
- A. (1) only
B. (3) only
C. (1) and (3) only
D. (2) and (3) only
23. Which of the following is **CONSISTENT** with the law of demand?
- A. When a hotel charges a 10% service fee, more people prefer deluxe rooms with better views to standard rooms.
B. After the government increases the fixed penalty for littering, the number of people littering increases.
C. A larger quantity of low-quality fruits is sold in a market near the farm than in a faraway market.
D. When a per-unit import tariff is imposed on red wine, the average quality of imported red wine worsens.
24. Which of the following situations is most likely to increase the demand for new electric cars?
- A. The price of gasoline cars increases.
B. The interest rate on car loans increases.
C. More research finds that electric cars have safety concerns.
D. Most sellers offer discounts on new electric cars.

25. The following is a supply-demand diagram for pet care services. The original equilibrium point is E_0 .

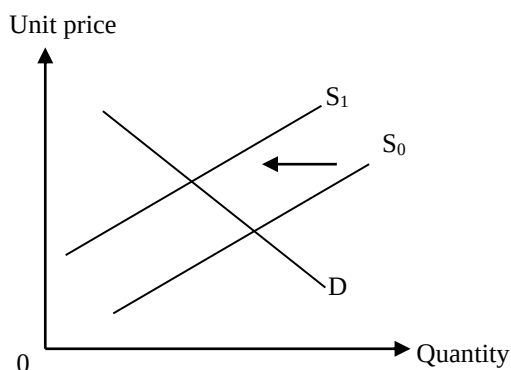


As keeping pets becomes a trend, more people keep pets at home. At the same time, more young people take animal care courses and join the pet care industry. The new equilibrium point will be _____.

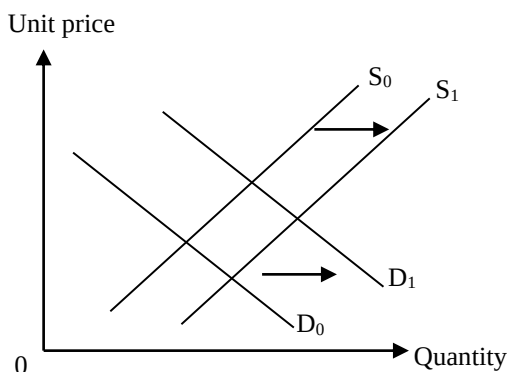
- A. E_1
 - B. E_2
 - C. E_3
 - D. E_4
26. When good X and good Y are in _____, an increase in the demand for good X will result in a decrease in the _____ good Y.
- A. joint supply ... price of
 - B. joint supply ... quantity demanded of
 - C. competitive supply ... demand for
 - D. competitive supply ... price of

27. Suppose many private residential properties have been completed in Country A in recent years. At the same time, more people hold a pessimistic view of future property prices. Which of the following diagrams could represent the above phenomena?

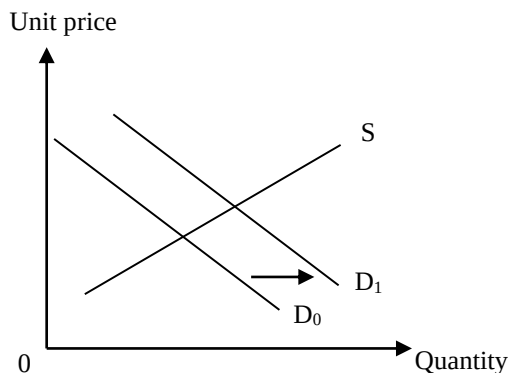
A. Private residential rental market



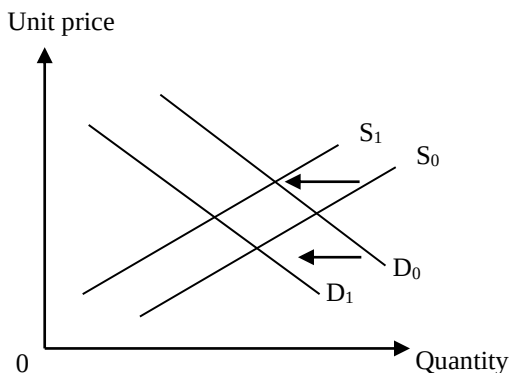
B. Private residential rental market



C. Private residential sales market



D. Private residential sales market



28. The table below shows the total expenditure of Miss Chan and Mr. Tong on fitness services.

Unit price (\$)	Total expenditure (\$)	
	Miss Chan	Mr. Tong
140	2,940	2,800
160	3,200	3,200
180	3,420	3,600
200	3,600	4,000

Miss Chan's elasticity of demand for fitness services is _____ while Mr. Tong's elasticity of demand for fitness services is _____ (without regard to the negative sign).

- A. between 0 and 1 ... 0
- B. between 0 and 1 ... 1
- C. 0 ... 1
- D. 0 ... greater than 1 and smaller than infinity

29. Suppose the reproductive rate of cows in Country A increases significantly. This results in a 40% change in the price of local beef and a 55% change in its quantity transacted. Which of the following statements are **CORRECT**?
- (1) The demand for local beef increases.
 - (2) The total expenditure on local beef increases.
 - (3) The quantity transacted of imported beef decreases.
 - (4) The total expenditure on imported beef may increase or decrease, depending on the price elasticity of demand.
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only
30. Suppose nutritional supplements are normal goods. As people's income in general has increased, there has been a 15% and 20% change in the price and quantity transacted of nutritional supplements respectively. Which of the following best explains the above changes in the price and quantity transacted of nutritional supplements?
- A. The nutritional supplement manufacturers have spare production capacity.
 - B. There are no close substitutes for nutritional supplements.
 - C. There are strict licensing requirements for nutritional supplement manufacturers.
 - D. Expenditure on nutritional supplements constitutes a small proportion of people's income.

END OF PAPER